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TAX & MONEY SERIES · INDIA 2026-27

THE NEW INCOME TAX ACT 2025 PLAYBOOK

Your complete guide to Tax Year 2026-27 — the new law, the new slabs, the new form numbers, and the decisions that keep your tax low.

60	536	31 Mar	Rs 12.75L
years of law replaced	sections, down from 819	revised-return deadline	tax-free for salaried

Verified against the Income-tax Act, 2025 · Income-tax Rules, 2026 · Finance Act, 2026 · CBDT and incometax.gov.in

Edition: October 2026 · Digital Edition

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Executive Summary: The Ten Things to Know

If you read nothing else, read this. It is the whole new law in ten points.

1. From 1 April 2026, the Income-tax Act, 2025 governs your tax. The 1961 Act still covers income earned before that date.
2. Your tax did not change. Slabs, rates and deduction limits are the same as last year.
3. There is now one ‘Tax Year’ instead of a Previous Year and an Assessment Year.
4. The new regime stays the default: nil tax up to Rs 12,00,000 of taxable income, and Rs 12,75,000 for salaried after the standard deduction.
5. The standard deduction is Rs 75,000 on the new regime and Rs 50,000 on the old.
6. The old regime survives, with 80C now called section 123 and 80D now section 126.
7. TDS and TCS are consolidated into sections 392 and 393, in one table.
8. Your forms have new numbers: Form 16 is now Form 130, and Form 26AS is now Form 168.
9. You have until 31 March, not 31 December, to file a revised return.
10. For most salaried taxpayers at every income level, the new regime wins — but run both before you decide.

Who this book is for

Salaried employees, freelancers, small business owners, senior citizens and investors — anyone who files an income-tax return in India. It assumes no prior tax knowledge and explains every term before it is used.

How to Use This Book

You do not have to read this cover to cover. Use it the way you use a manual.

- **If you just want your number:** read the slab tables in Chapter 3 and the comparison in Chapter 5.
- **If you are deciding between regimes:** go straight to Chapter 4 and the worked case studies.
- **If you are filing now:** turn to the ITR walk-through and the form-number cheat sheet.
- **If you want the deadlines:** the calendar and the quick reference card at the back are enough.
- **If something in a notice confuses you:** the chapter on notices and appeals translates it.

Every figure in this book is verified against the Income-tax Act, 2025, the Income-tax Rules, 2026 and the Finance Act, 2026. Where a number could change with a future budget, the book tells you so.

1. The Biggest Rewrite of Indian Tax Law in 60 Years

On 1 April 2026, India retired the law that had governed every salary slip, every ITR and every tax notice since 1961. The Income-tax Act, 2025 replaced it in full. If you earn, invest or run a business in India, this is the most important change to your tax life this decade — and the good news is that it is easier, not harder, to work with.

The Act was passed by Parliament on 12 August 2025 and received the President's assent on 21 August 2025. It came into force on 1 April 2026, the same day the Income-tax Rules, 2026 and the new set of forms were notified to make it work. The Income-tax Act, 1961 was repealed from that date, though its provisions still govern income earned before 1 April 2026.

What actually changed — in one line

The law was rewritten in plain language and cut from 819 sections to 536, but the tax you owe did not change. Rates, slabs, deduction limits and exemptions were deliberately left intact. This is a simplification, not a tax hike.

That point matters more than any other in this book. Finance Minister Nirmala Sitharaman called the new Act revenue-neutral, and the Finance Act, 2026 that followed made no change to personal tax slabs either. So if you expected a surprise tax cut with the new law, there isn't one — and if you feared a hidden increase, there isn't one of those either. What you get instead is a rulebook you can actually read.

Three things changed enough to affect how you file, how your employer deducts tax, and which form you pick up:

- **A single ‘Tax Year’.** The confusing pair of ‘Previous Year’ and ‘Assessment Year’ is gone. There is now one Tax Year, running 1 April to 31 March.
- **TDS and TCS are consolidated.** The dozens of scattered withholding sections (192 to 194T) are now grouped under two sections, 392 and 393, in a single table.
- **New form numbers.** Form 16 is now Form 130. Form 26AS is replaced by Form 168. Forms 15G and 15H are merged into Form 121. Your paperwork will look different.

Everything else — your slabs, your standard deduction, your 80C limit of Rs 1.5 lakh, the HRA formula, the capital gains rates — carried over unchanged. The new Act preserves the tax policy and rewrites the machinery.

2. Tax Year Replaces Assessment Year: What It Means For You

For decades, Indian taxpayers had to hold two years in their head at once: the Previous Year (the year you earned) and the Assessment Year (the year you filed). The new Act collapses both into one ‘Tax Year’, defined simply as the twelve months of the financial year beginning 1 April.

So the income you earn from 1 April 2026 to 31 March 2027 is now called Tax Year 2026-27. You still file a return for it after it ends — the filing happens in 2027. The difference is naming, not timing: no

income year is skipped, and no year is taxed twice.

No missing year, no double tax

Income earned in FY 2025-26 is governed by the old 1961 Act and assessed in AY 2026-27. Income earned from 1 April 2026 onwards is governed by the new Act as Tax Year 2026-27. The two Acts sit side by side on the e-filing portal for the transition, with no overlap.

You earned it in	Old name (1961 Act)	New name (2025 Act)	Return filed under
FY 2025-26	Previous Year 2025-26 / AY 2026-27	—	Old Act, in 2026
FY 2026-27	—	Tax Year 2026-27	New Act, in 2027
FY 2027-28	—	Tax Year 2027-28	New Act, in 2028

The practical consequence: when you file your return in July 2026 for the year gone by, you are still entirely inside the old law — old sections, old forms, old language. The new law governs the year you are living through now, and the return you will file in 2027. Do not mix the two.

3. Your Slab Rates for FY 2026-27

Rates are unchanged from last year. The new regime remains the default, and the old regime remains available to those who claim enough deductions to make it worthwhile. Here is exactly what you pay on each rupee.

3.1 The new regime (default)

Total income slab	Rate
Up to Rs 4,00,000	Nil
Rs 4,00,001 to Rs 8,00,000	5%
Rs 8,00,001 to Rs 12,00,000	10%
Rs 12,00,001 to Rs 16,00,000	15%
Rs 16,00,001 to Rs 20,00,000	20%
Rs 20,00,001 to Rs 24,00,000	25%
Above Rs 24,00,000	30%

Two riders sit on top of these slabs. A rebate under section 87A wipes out the tax entirely if your total taxable income is Rs 12,00,000 or less (section 156 in the new Act). And a salaried person gets a standard deduction of Rs 75,000 — which is why the headline is that a salaried person earning up to Rs 12,75,000 pays no tax at all. A later chapter works through this.

3.2 The old regime (optional)

The old regime keeps higher rates but allows the deductions and exemptions the new regime mostly disallows. The rates differ by age:

Slab	Below 60	Age 60 to 79	Age 80 and above
Up to exemption	Rs 2,50,000	Rs 3,00,000	Rs 5,00,000

Slab	Below 60	Age 60 to 79	Age 80 and above
Next band	5%	5%	20%
Rs 5,00,001 to Rs 10,00,000	20%	20%	20%
Above Rs 10,00,000	30%	30%	30%

Old-regime slabs. The 5% band runs from the exemption limit to Rs 5,00,000; the 20% band runs from Rs 5,00,001 to Rs 10,00,000.

3.3 Surcharge and cess

Whatever your regime, two additions apply on top of the slab tax:

- **Surcharge** — 10% of tax if total income is over Rs 50 lakh, 15% between Rs 1 crore and Rs 2 crore, and 25% above Rs 2 crore under the new regime. The old regime keeps 37% above Rs 5 crore; the new regime caps at 25%.
- **Health and Education Cess** — a flat 4% on tax plus surcharge, in every case, for everyone.

On capital gains taxed at special rates, surcharge is capped at 15% even if your other income would attract more. That cap survives in the new law.

4. Old Regime vs New Regime: Which One Wins in 2026-27

This is the decision that saves or costs most taxpayers real money, and it is simpler than the brochures make it sound. The new regime has lower rates and almost no deductions. The old regime has higher rates and all the deductions. You pick whichever gives the lower tax.

The thumb rule: add up every deduction and exemption you can genuinely claim — HRA, home-loan interest, 80C, NPS, 80D, and so on. If that total is small, the new regime wins. If it is large, the old regime can win. For most salaried people with modest investments, the new regime wins comfortably, because income up to Rs 12.75 lakh is already tax-free there.

4.1 Worked example: Rs 10 lakh salary with Rs 1.5 lakh of 80C

	Old regime	New regime
Gross salary	Rs 10,00,000	Rs 10,00,000
Standard deduction	Rs 50,000	Rs 75,000
Section 80C (now section 123)	Rs 1,50,000	Not allowed
Taxable income	Rs 8,00,000	Rs 9,25,000
Slab tax before rebate	Rs 72,500	Rs 32,500
Section 87A rebate	Nil	Rs 32,500
Tax + 4% cess payable	Rs 75,400	Nil

Same salary, same Rs 1.5 lakh of investments: the old regime costs Rs 75,400 and the new regime costs nothing. This is why the new regime is the default, and why you should not assume the old regime is better just because it has more deductions.

4.2 When the old regime still wins

The old regime becomes the better choice when your claimable deductions are large — typically a home loan with substantial interest, high HRA in a metro, and a full 80C. As a rough guide at higher incomes, if your total deductions and exemptions comfortably exceed Rs 8 lakh, the old regime can pull ahead. Below that, the new regime usually holds.

How to switch

The new regime is the default. Salaried employees tell their employer at the start of the year; business owners and professionals who want the old regime must file Form 10-IEA (now Form 106 under the new Act) before the return due date. Once you opt out as a business taxpayer, re-entering the new regime is allowed only once in a lifetime.

5. Tax at Every Income Level: The Full Comparison

Tables are worth a thousand words when the choice is between two regimes. Here is what a salaried person pays at each income level under Tax Year 2026-27, after the standard deduction and cess, with no other deductions.

Gross salary	New regime	Old regime (no deductions)	Old regime (Rs 3L deductions)	Old regime (Rs 5L deductions)
Rs 8,00,000	Nil	Rs 65,000	Rs 10,400	Nil
Rs 10,00,000	Nil	Rs 1,06,600	Rs 44,200	Rs 10,400
Rs 12,00,000	Nil	Rs 1,63,800	Rs 85,800	Rs 44,200
Rs 12,75,000	Nil	Rs 1,87,200	Rs 1,01,400	Rs 59,800
Rs 15,00,000	Rs 97,500	Rs 2,57,400	Rs 1,63,800	Rs 1,06,600
Rs 20,00,000	Rs 1,92,400	Rs 4,13,400	Rs 3,19,800	Rs 2,57,400
Rs 25,00,000	Rs 3,19,800	Rs 5,69,400	Rs 4,75,800	Rs 4,13,400
Rs 30,00,000	Rs 4,75,800	Rs 7,25,400	Rs 6,31,800	Rs 5,69,400

Tax after the standard deduction, section 87A rebate, marginal relief and 4% cess. No surcharge applies at these levels. ‘Deductions’ means total claims such as 80C, 80D, HRA and home-loan interest.

Read the table two ways. First, up to Rs 12.75 lakh of salary, the new regime charges nothing — so there is no reason to choose the old regime at those levels. Second, even at Rs 20 lakh, the old regime only catches up to the new regime when deductions cross roughly Rs 5 lakh. That is a high bar, which is why the new regime wins for the large majority of salaried taxpayers.

6. Four Taxpayers, Fully Computed

Abstract rules become clear when you run real numbers. Here are four taxpayers across the income range, computed for Tax Year 2026-27 under both regimes, so you can see exactly how the choice plays out.

6.1 Rahul — salaried, Bengaluru, Rs 18 lakh

Rahul earns Rs 18,00,000. His basic pay is Rs 7,20,000, HRA is Rs 3,60,000, and he pays Rs 30,000 a month in rent (Rs 3,60,000 a year). He invests Rs 1,50,000 under 80C and pays Rs 25,000 of health insurance. His HRA exemption works out to Rs 2,88,000 — the least of actual HRA, rent minus 10% of basic, and 50% of basic.

	Old regime	New regime
Gross salary	Rs 18,00,000	Rs 18,00,000
Standard deduction	Rs 50,000	Rs 75,000
HRA exemption	Rs 2,88,000	Not allowed
80C and 80D	Rs 1,75,000	Not allowed
Taxable income	Rs 12,87,000	Rs 17,25,000
Tax plus 4% cess	Rs 2,06,544	Rs 1,50,800

Even with a large HRA exemption and a full 80C, Rahul pays Rs 55,744 less under the new regime. His deductions are real, but the new regime’s lower rates on the middle slabs outweigh them.

6.2 Priya — freelance content writer, Rs 15 lakh

Priya receives Rs 15,00,000 from clients and uses presumptive taxation for professionals (section 58, formerly 44ADA), declaring 50% — Rs 7,50,000 — as income. Under the new regime that is below the Rs 12 lakh line, so she pays nothing. Under the old regime, after a Rs 1,50,000 80C claim, she would pay Rs 33,800.

Priya’s lesson: advance tax still applies

Even with zero final tax, Priya must still pay advance tax through the year if her TDS does not cover the liability — though a zero liability means nothing to pay. Keep the four instalment dates in mind regardless, and reconcile at year end.

6.3 Mr Sharma — retired, age 62, Rs 12 lakh

Mr Sharma receives Rs 9,00,000 of pension and Rs 3,00,000 of fixed-deposit interest. Under the new regime his taxable income is Rs 11,25,000 after the Rs 75,000 standard deduction, and the rebate brings his tax to nil. Under the old regime, even with the Rs 3,00,000 senior exemption and the Rs 50,000 deposit-interest deduction, he would pay Rs 75,400.

6.4 Ananya — salaried, Rs 30 lakh, plus Rs 3 lakh of equity gains

Ananya earns Rs 30,00,000 and booked Rs 3,00,000 of long-term gains on equity funds. Her salary is taxed on the new-regime slabs and her gain at 12.5% above the Rs 1.25 lakh exemption. The rebate is irrelevant at her income, and the capital-gains carve-out does not bite.

	Old regime	New regime
Salary tax (incl. cess)	Rs 7,25,400	Rs 4,75,800
LTCG tax at 12.5% (incl. cess)	Rs 22,750	Rs 22,750
Total	Rs 7,48,150	Rs 4,98,550

Figures include 4% cess and reflect no other deductions. The pattern across all four taxpayers is the same: at every income level here, the new regime wins.

7. The New Regime: What You Can and Cannot Claim

Under the new regime the rule is simple: lower rates in exchange for giving up most deductions. But ‘most’ is not ‘all’. A handful of concessions survive, and missing them is a common and needless loss.

6.1 What you can still claim

Concession	Limit	Notes
Standard deduction (salary)	Rs 75,000	Automatic for salaried and pensioners
Employer NPS contribution	Up to 14% of salary	Section 80CCD(2) — still allowed in both regimes
Family pension deduction	Rs 25,000	For pension received by family of a deceased employee
Agnipath scheme (80CCH)	As notified	Contribution to the Agniveer corpus
Employer EPF/NPS on your behalf	As per rules	Not treated as your taxable income

The employer NPS contribution is the standout. Because it is allowed in both regimes, it is the one large deduction that lets a new-regime taxpayer reduce taxable income — up to 14% of basic salary if your employer offers corporate NPS. If you are near the Rs 12 lakh rebate line, this is the lever to use.

6.2 What you give up in the new regime

- Section 80C (now section 123) — the Rs 1.5 lakh for PPF, ELSS, life insurance, principal repayment
- Section 80D (now section 126) — health insurance premiums
- Section 80CCD(1B) — the extra Rs 50,000 of your own NPS contribution
- House Rent Allowance exemption — now section 21
- Home-loan interest on a self-occupied property (section 24(b), renumbered in the new Act)
- Section 80TTA / 80TTB — interest on savings and deposits
- Section 80G — donations

If you cannot claim a meaningful amount of these, the new regime’s lower rates and the Rs 12 lakh rebate will almost always beat the old regime.

8. The Old Regime Deductions and Their New Section Numbers

If you choose the old regime — or simply want to understand the new numbering — here is the map. The new Act has no letters in section numbers: 80C became section 123, 80D became section 126, and so on. The limits are unchanged.

Old section (1961)	New section (2025)	What it is	Limit
80C	123	PPF, ELSS, life insurance, tuition, principal	Rs 1,50,000
80CCD(1B)	124 (NPS)	Extra NPS self-contribution	Rs 50,000
80D	126	Health insurance premium	Rs 25,000 / Rs 50,000
80E	129	Education loan interest	No upper limit
80G	—	Donations to approved funds	50% or 100%
80TTA	—	Savings-bank interest	Rs 10,000
80TTB	—	Deposit interest for seniors	Rs 50,000
24(b)	—	Home-loan interest (self-occupied)	Rs 2,00,000
10(13A)	—	HRA exemption	Least of three tests

Section-to-section mapping. Use the new numbers for Tax Year 2026-27 returns filed in 2027; the old numbers still apply to the AY 2026-27 return filed in 2026.

HRA: the formula is unchanged, the proof is not

HRA exemption is still the least of three amounts: (a) actual HRA received, (b) rent paid minus 10% of basic salary, and (c) 50% of basic salary in a metro or 40% elsewhere. What has tightened is the proof: you must now give your landlord's PAN and valid rent-payment evidence. Cash claims with no paper trail are the first thing an assessment questions.

9. The Deduction Playbook: 80C to 80TTB in Detail

If you are on the old regime, these are the deductions worth planning around. If you are on the new regime, read it anyway — it tells you what you are trading away, and helps you decide whether switching is worth it.

8.1 Section 80C (now 123) — the Rs 1.5 lakh

The workhorse deduction. One shared ceiling of Rs 1,50,000 across all of these:

- Employee Provident Fund (EPF) and Voluntary PF contributions
- Public Provident Fund (PPF)
- Equity Linked Savings Scheme (ELSS) mutual funds
- Life insurance premiums (for policies within the permitted premium limits)
- Principal repayment on a home loan
- Sukanya Samriddhi Yojana
- National Savings Certificate (NSC)
- Five-year tax-saving fixed deposits
- Tuition fees for up to two children

8.2 Section 80CCD(1B) — the extra Rs 50,000 for NPS

Your own contribution to the National Pension System earns an additional Rs 50,000 of deduction, over and above the 80C ceiling. This is old-regime only. The employer's NPS contribution under 80CCD(2) is separate and available in both regimes.

8.3 Section 80D (now 126) — health insurance

Who is covered	Maximum deduction
Yourself, spouse and children	Rs 25,000 (Rs 50,000 if you are a senior citizen)
Parents	An additional Rs 25,000 (Rs 50,000 if parents are senior citizens)
Preventive health check-up	Up to Rs 5,000, within the above limits

8.4 Home loan, education loan and other deductions

- **Section 24(b) — home-loan interest:** up to Rs 2,00,000 on a self-occupied property, in the old regime. The full interest is allowed on a let-out property.
- **Section 80E — education loan interest:** no upper limit, for up to eight years, on a loan for higher studies.
- **Section 80TTA — savings interest:** up to Rs 10,000. For senior citizens, 80TTB allows up to Rs 50,000 on all deposit interest.
- **Section 80G — donations:** 50% or 100% of qualifying donations, depending on the fund.

The single best tax move for most people

Under the new regime, the employer NPS contribution (80CCD(2), up to 14% of salary) is the only large deduction left. If your employer offers corporate NPS and you are anywhere near the Rs 12 lakh line, using it can keep you under the rebate threshold and cut your tax to zero. Ask your HR whether it is available.

10. Your Salary Structure Decoded: CTC to Taxable Income

The gap between what a company calls your CTC and what actually gets taxed confuses almost everyone. Here is how the numbers fit together, so you can see where tax is saved and where it is simply deferred.

Component	What it is	Tax treatment
Basic salary	The core of your pay; drives PF and HRA	Fully taxable
HRA	House Rent Allowance	Partly exempt if you pay rent and claim it (old regime)
Special allowance	The balancing figure in most CTCs	Fully taxable
Employer PF contribution	12% of basic into your EPF	Not taxed now; taxed when withdrawn
Gratuity	A retirement benefit, if eligible	Exempt up to the prescribed limit

Component	What it is	Tax treatment
Employer NPS	Optional 14% of basic to NPS	Deductible in both regimes (80CCD(2))

Your taxable salary is the sum of the fully taxable components, plus any perquisites, minus the standard deduction and any exemptions you are entitled to. Two moves reduce it legally: routing part of pay into employer NPS (both regimes), and claiming HRA, LTA or 80C items (old regime only).

Read your payslip against Form 130

When your Form 130 arrives, match its salary figure to your twelve payslips. Discrepancies usually come from a perquisite your employer valued differently, or an exemption you claimed that payroll did not process. Fixing it before you file is far easier than correcting a return later.

11. House Property: Rent, Interest and the Deduction

If you own property — whether you live in it, rent it out, or hold a second home — its income or loss sits in its own head of income. The rules are simple once you know the order.

- **Self-occupied property:** its annual value is taken as nil, so there is no rental income to tax. In the old regime you can still deduct up to Rs 2,00,000 of home-loan interest, creating a loss you can set off against other income. In the new regime, interest on a self-occupied home is not deductible.
- **Let-out property:** you start from the rent received, deduct municipal taxes, then a flat 30% standard deduction, then the full interest on the loan. The result is taxed at your slab rate.
- **Two self-occupied homes:** the nil-annual-value treatment now extends to two properties, which helps owners of a second home that is not let out.
- **Loss set-off:** a house-property loss can be set off against other income up to Rs 2,00,000 a year, with the balance carried forward.

The single most common error is claiming interest on a self-occupied home while on the new regime, where it is not allowed. If your home loan is large and you want the interest deduction, the old regime may be worth it — run the comparison.

12. The Rs 12 Lakh Rebate and the Marginal-Relief Cliff

The single most valuable feature of the new regime is the section 87A rebate: if your total taxable income is Rs 12,00,000 or less, the tax is reduced to zero. But there is a cliff just past Rs 12 lakh, and knowing where it ends can save you a surprising amount.

At exactly Rs 12,00,000 of taxable income, the slab tax is Rs 60,000 — and the rebate is Rs 60,000, so you pay nothing. Earn one rupee more and, without protection, the rebate vanishes and you would owe the full Rs 60,000. To stop that absurdity, the law provides marginal relief: the tax on income just above Rs 12 lakh cannot exceed the amount by which your income exceeds Rs 12 lakh.

Taxable income	Slab tax	Tax actually payable
Rs 12,00,000	Rs 60,000	Nil (full rebate)

Taxable income	Slab tax	Tax actually payable
Rs 12,01,000	Rs 60,150	Rs 1,000 (marginal relief)
Rs 12,05,000	Rs 60,750	Rs 5,000 (marginal relief)
Rs 12,25,000	Rs 63,750	Rs 25,000 (marginal relief)
Rs 12,75,000	Rs 71,250	Rs 71,250 (relief ends)

Marginal relief tapers your tax up smoothly until, at roughly Rs 12,75,000 of taxable income, it runs out and full slab tax resumes. For a salaried person, the Rs 75,000 standard deduction sits before this line — so the tax-free salary is around Rs 12,75,000.

The capital-gains carve-out — the trap most people miss

The section 87A rebate does not apply to tax on capital gains taxed at special rates (equity STCG at 20%, equity LTCG at 12.5%). Worse, those gains still count towards the Rs 12 lakh limit. A small equity gain can push your total income over Rs 12 lakh, killing the rebate on your salary too. If you are near the line, time your gains carefully.

13. The Five Heads of Income, Mapped to the New Act

The new Act keeps the same five heads of income you have always known. What changes is the language and the section numbers. Here is the map so nothing surprises you.

Head of income	What it covers	New Act notes
Salary	Pay, allowances, perquisites, pension	Standard deduction Rs 75,000 (new regime)
House property	Rent received, and the deduction for home-loan interest	Section 24 for interest
Business or profession	Profit from business, freelance and professional income	Presumptive sections 57 and 58
Capital gains	Gains on shares, property, gold, funds	Sections 196 to 198 for the special rates
Other sources	Interest, dividends, winnings, gifts	Interest deductions for seniors retained

You compute income head by head, then apply the slab rates (or the special rate, for capital gains) to the total. Nothing about the arithmetic changed in 2026. If you have never worked through the heads before, the order is: salary, then house property, then business, then capital gains, then other sources.

14. Capital Gains in Tax Year 2026-27

Capital gains rates were left untouched by Budget 2026, but two structural changes did land: share buybacks are now taxed as capital gains, and Sovereign Gold Bonds bought second-hand lose their redemption exemption. Here is the full picture.

Asset and holding period	Short-term rate	Long-term rate
Listed shares, equity funds, business trusts (STT paid)	20%	12.5% above Rs 1.25 lakh

Asset and holding period	Short-term rate	Long-term rate
Gold ETFs, listed bonds, other listed securities	Slab rate	12.5%
Land and buildings (long-term after 24 months)	Slab rate	12.5%; 20% with indexation if bought before 23 Jul 2024
Physical gold, silver, jewellery, unlisted shares	Slab rate	12.5%
Debt funds bought on or after 1 Apr 2023	Slab rate	Always short-term

Rates before surcharge and 4% cess. The equity LTCG exemption is Rs 1,25,000 per tax year and cannot be carried forward. The special-rate sections are now 196 (STCG on listed equity), 197 (other LTCG) and 198 (the equity LTCG exemption).

11.1 What changed in Budget 2026

- **Share buybacks are capital gains for everyone.** Previously taxed as deemed dividends at slab rates, buyback proceeds now attract capital-gains tax. Corporate promoters face an effective 22% (with a 12% surcharge on the gains) and non-corporate promoters about 30%. Retail investors pay STCG or LTCG depending on holding period.
- **Sovereign Gold Bonds.** The redemption exemption now applies only to bonds bought in the original government issue. If you bought SGBs in the secondary market, the gain at maturity is taxable.
- **STT on derivatives rises.** STT on futures goes from 0.02% to 0.05%; on options premium and on exercise of options, both rise to 0.15%.

15. Crypto and Virtual Digital Assets Under the New Act

The new Act gives digital assets their own vocabulary and a wide definition, but leaves the tax treatment exactly where it was. If you trade or hold crypto, the rules are strict and unforgiving.

- Gains from Virtual Digital Assets are taxed at a flat 30%, with no deduction for expenses other than the cost of acquisition.
- You cannot set off a VDA loss against any other income, and you cannot carry it forward.
- A 1% TDS applies on the transfer of a VDA above the prescribed threshold — now under section 393 of the new Act, with Form 141 for the challan-cum-statement.
- The definition now explicitly covers crypto-assets, NFTs and any asset the Government notifies, and extends to virtual digital space — social media accounts, online trading accounts and websites.

The wider definition is the point to note. It signals that the tax department treats the digital economy — not merely coins — as within scope. Keep clean records of every transfer.

16. Gifts, Clubbing and Other Income

Not all money that reaches you is taxed, and not all of it is yours to tax alone. Two rules — one on gifts, one on clubbing — quietly affect many families.

14.1 Gifts: the Rs 50,000 rule

- Money or property received without consideration is fully exempt if the total in a year is Rs 50,000 or less.
- Above Rs 50,000, the entire amount becomes taxable as income from other sources — not just the excess.
- Gifts from defined relatives, on marriage, under a will, or by inheritance are exempt without any limit.
- Wedding gifts received by the couple are exempt; gifts received on other occasions from non-relatives are not.

14.2 Clubbing: when income is taxed in your hands

If you transfer income-producing assets to a spouse, minor child or daughter-in-law, the income can be taxed in your hands rather than theirs. This stops families from splitting income to exploit lower slabs. A minor child’s income is generally clubbed with the higher-earning parent, with a small exemption for the child. Income from assets bought with the child’s own money or talent is not clubbed.

17. How Each Investment Is Taxed

Two investments with the same return can leave you with very different money after tax. Here is how the main options in an Indian portfolio are treated in Tax Year 2026-27.

Investment	How the return is taxed
Equity shares and equity funds, held over 12 months	LTCG at 12.5% on gains above Rs 1.25 lakh a year
Equity shares and equity funds, held 12 months or less	STCG at a flat 20%
ELSS funds (3-year lock-in)	LTCG at 12.5% above Rs 1.25 lakh
Debt funds bought on or after 1 April 2023	Taxed at your slab rate, always
Fixed deposits and recurring deposits	Interest at your slab rate; TDS if interest crosses the threshold
Public Provident Fund and EPF	Exempt at investment, accrual and withdrawal
National Pension System	Partial; 60% of the corpus is tax-free at exit
Sukanya Samriddhi Yojana	Exempt at all three stages
Physical gold and gold ETFs	LTCG at 12.5% after 24 months; slab rate if shorter
Sovereign Gold Bonds	Redemption exempt only if bought in the original issue
Real estate	LTCG at 12.5% after 24 months; 20% with indexation if bought before 23 Jul 2024
Life insurance maturity	Exempt within the permitted premium limits

The lesson is simple: match the holding period and the wrapper to your tax rate. A high earner who would pay 30% on debt interest may prefer equity, held long, where the rate is 12.5%. A taxpayer below the Rs 12 lakh line pays nothing on most of this anyway.

18. Tax on Interest, Dividends and Winnings

Income from your savings, your shares and the occasional windfall each has its own rule. These are the ones people most often get wrong.

- **Savings-bank interest** is fully taxable, but the old regime allows a deduction of up to Rs 10,000 under 80TTA.
- **Deposit interest** for senior citizens gets up to Rs 50,000 of deduction under 80TTB, in the old regime.
- **TDS on interest** is deducted at 10% once interest crosses Rs 50,000 in a year (Rs 1,00,000 for senior citizens). Filing Form 121 (the merged 15G/15H) stops the deduction if your income is below the taxable limit.
- **Dividends** are taxable at your slab rate, with TDS above the prescribed threshold. The old regime no longer allows a deduction for the interest you paid to earn them.
- **Winnings** from lotteries, betting, card games and online gaming are taxed at a flat 30%, with no deduction for expenses and no basic-exemption benefit. TDS applies above the threshold.

The 30% flat rate on winnings is deliberately punitive, and it applies to the gross amount, not your net gain. Keep it in mind before treating any game of chance as a plan.

19. TDS and TCS Under the New Law

If you are salaried, you meet TDS every month through your salary. If you run a business, you deduct it on payments. The new Act does not change the rates or the thresholds — it changes where they live and what you call them.

All the old withholding sections, from 192 to 194T, are now gathered into two: section 392 for salary, and section 393 for everything else (rent, commission, contractor payments, professional fees, and so on). Section 393 is written as a table, split by who you are paying — residents, non-residents, and any person. TCS sits in section 394.

The one mistake that causes system errors

From 1 April 2026, when you file a TDS return you must quote the new section reference — for example, section 393(1) [Table: Sl. No. 6(i)] for contractor payments — and not the old 194C. Quoting the old number can trigger validation errors and force a correction statement. Rates are unchanged; only the citation is new.

13.1 TCS changes you will notice

Nature of receipt	Old rate	New rate
Overseas tour packages	5% up to Rs 10 lakh; 20% above	Flat 2%, no threshold
LRS remittance for education or medical	5%	2%
LRS remittance for other purposes	20%	20% (unchanged)
Sale of scrap, minerals, alcohol, tendu leaves	1% to 5%	Rationalised to 2%

Two other TDS changes are worth noting. Payments for the supply of manpower now sit within the definition of ‘work’, so TDS on them is clear at 1% or 2%. And if you are a resident buying property from a non-resident, you can now deduct and deposit the TDS using your own PAN-based challan instead of obtaining a separate TAN.

20. Your New Form Numbers: The Complete Cheat Sheet

Your paperwork has been renumbered. Nothing about what the forms do has changed, but quoting the wrong number wastes time. Keep this page.

Old form	New form	What it is
Form 16	130	Salary TDS certificate from your employer
Form 16A	131	TDS certificate for non-salary payments
Form 16B / 16C / 16D / 16E	132	TDS certificates for property, rent, contractor, VDA
Form 27D	133	TCS certificate
Form 15G and 15H	121	Declaration to receive income without TDS
Form 26AS / AIS	168	Annual Information Statement for Tax Year 2026-27
Form 26QB/26QC/26QD/26QE	141	Single challan-cum-statement for property, rent, VDA TDS
TDS quarterly statement (26Q, 27Q)	140, 144	Quarterly TDS returns
Form 10-IEA	106	Opting out of the new regime

Old form numbers still apply to periods up to March 2026; new numbers apply to Tax Year 2026-27 onwards.

What Form 168 replaces

The Annual Information Statement (AIS) you used to check TDS credits and high-value transactions is now Form 168 for Tax Year 2026-27. Both the old AIS and the new Form 168 will be visible on the e-filing portal during the transition, so check the right one for the right year.

21. Which ITR Form Is Yours?

Filing the wrong form is one of the most common reasons a return is treated as defective. Here is the plain-language guide to picking yours.

Form	Who uses it
ITR-1 (Sahaj)	Resident with total income up to Rs 50 lakh from salary, up to two house properties, other sources, and long-term gains up to Rs 1.25 lakh
ITR-2	Individuals and HUFs with capital gains, more than two house properties, foreign assets, or income above Rs 50 lakh — but no business income
ITR-3	Individuals and HUFs with business or professional income not eligible for presumptive taxation
ITR-4 (Sugam)	Residents with presumptive business or professional income up to Rs 50 lakh
ITR-5, 6, 7	Firms, LLPs, companies and trusts

A change you will notice: for AY 2026-27, ITR-1 now permits up to two house properties, widened from one. That keeps more small landlords inside the simple form. If you are unsure, the e-filing portal asks a short set of questions and recommends the right form — use it.

22. ITR Deadlines and the New Revised-Return Window

Budget 2026 did not just extend deadlines — it staggered them by taxpayer type, and it gave you a much longer window to fix mistakes. Here is the calendar.

Taxpayer	Due date to file	Notes
Salaried and other non-business (ITR-1, ITR-2)	31 July	Unchanged
Non-audit business and professional (ITR-3, ITR-4)	31 August	Extended from 31 July
Audit cases	31 October	Unchanged
Belated return	31 December	Unchanged
Revised return	31 March	Extended from 31 December

The revised-return extension is the headline relief. You now have twelve months, not nine, to correct an error. Filing after nine months attracts a nominal fee — Rs 1,000 if your income is up to Rs 5 lakh, Rs 5,000 otherwise — but you keep the right to revise.

16.1 The updated return (ITR-U) is now more forgiving

You can now file an updated return even after a reassessment notice has been issued, paying the tax, interest and an additional 10% levy over the applicable rate. Doing so gives you immunity from penalties for under-reporting or misreporting. This is a genuine olive branch: instead of litigating a notice, you can settle it by disclosing.

23. Salary, HRA and Perquisite Changes for 2026-27

Several employer-benefit limits moved this year. If your CTC includes meal cards, gift vouchers, a company car or children’s allowances, these numbers decide how much is taxable.

Benefit	Old limit	New limit
Employer meal card (per meal)	Rs 50	Rs 200
Gift vouchers / coupons (per year)	Rs 5,000	Rs 15,000
Children education allowance (per child, per month)	Rs 100	Rs 3,000
Hostel allowance (per child, per month)	Rs 300	Rs 9,000
Company car up to 1.6 litre (per month)	Rs 1,800 / Rs 2,400	Rs 8,000
Company car above 1.6 litre (per month)	Rs 2,400 / Rs 3,000	Rs 10,000
Driver provided (per month)	Rs 900	Rs 3,000

Vehicle perquisite values apply to both personal and official use, under both regimes.

The meal-card and gift-voucher changes are real relief for salaried people — a meal card now shelters up to Rs 200 per meal tax-free, and annual gift vouchers up to Rs 15,000. But the vehicle perquisite values rose sharply, so a company car is more taxable than before. Check your Form 130 against these figures.

24. Senior Citizens and Pensioners in 2026-27

Senior citizens get a set of concessions that are easy to overlook. If you are 60 or over, these are yours to use.

- Under the old regime, the basic exemption rises to Rs 3,00,000 at 60 and Rs 5,00,000 at 80.
- Section 80TTB allows up to Rs 50,000 of deduction on interest from deposits — the senior-citizen version of 80TTA.
- The 80D health-insurance limit rises to Rs 50,000 for a senior-citizen policyholder.
- Senior citizens without business income are exempt from filing advance tax.
- Banks no longer deduct TDS on interest paid to a senior citizen who files Form 121 (the merged 15G/15H) declaring income below the taxable limit.

The choice between regimes still applies. Because the new regime’s Rs 12 lakh rebate is generous and age-neutral, many seniors with pension and interest income below that line now pay nothing there — even without the age-based exemption. Run both before you decide.

25. PAN Rules and High-Value Transaction Thresholds

PAN is now demanded in more places and in a slightly different way. Getting this wrong can stall a property deal or a large purchase, so know the thresholds.

- Applying for a PAN using Aadhaar alone is no longer allowed. Use Form 93 (individuals), Form 94 (companies), Form 95 (foreign individuals) or Form 96 (foreign entities).
- PAN is mandatory for cash deposits of Rs 10 lakh or more in a financial year.
- PAN is mandatory for vehicle purchases above Rs 5 lakh — now including two-wheelers above the specified threshold.
- PAN is mandatory for hotel or event payments above Rs 1 lakh.
- PAN is mandatory for property transactions above Rs 20 lakh.

At the same time, some requirements were removed — foreign travel payments and the purchase of bank instruments no longer need PAN. The approach is calibrated: demand it where the money is large, drop it where it is not.

26. Advance Tax: Who Pays, and When

If your TDS does not cover your whole tax bill — because you freelance, earn rent, or have large interest or capital gains — you must pay advance tax in four instalments. The Tax Year concept changed the label, not the dates.

Instalment due	Cumulative share of your tax
15 June	15%
15 September	45%
15 December	75%
15 March	100%

Miss an instalment and interest follows under the late-filing and advance-tax interest provisions formerly sections 234A, 234B and 234C. Salaried people with only salary income need not worry: your employer's TDS is your advance tax.

27. The Salaried Taxpayer's Action Plan

If you draw a salary, this is your entire to-do list for Tax Year 2026-27, in order.

1. **Pick your regime early.** Tell your employer which regime you want for the year so monthly TDS is correct. The new regime is the default; choose the old only if your deductions clearly beat it.
2. **Check the standard deduction.** Rs 75,000 under the new regime, Rs 50,000 under the old. It is automatic but worth confirming on your payslip projection.
3. **Use employer NPS if offered.** Up to 14% of salary is deductible in both regimes — the best legal lever a new-regime taxpayer has.
4. **Keep your rent paper trail.** Landlord PAN and payment proof, every month, if you claim HRA.
5. **Reconcile your Form 130.** When your employer issues it (by 15 June after the year), check the salary, TDS and deductions against your own records.
6. **Watch the Rs 12 lakh line.** If you are near it, time capital gains and use employer NPS to stay under, and claim the full rebate.
7. **File by 31 July.** Salaried returns keep the July deadline. Do not wait for the December belated window unless you must.

28. Freelancers and Small Businesses Under the New Act

If you earn from business or a profession, the new Act touches you in four places: presumptive taxation, TDS citations, advance tax and the return forms.

- **Presumptive taxation survives.** Both 44AD (business) and 44ADA (professionals) are now consolidated into section 58, presented as a table. The eligibility and the deemed-profit percentages are unchanged.

- **Quote the new TDS sections.** When you deduct tax on contractor, rent or professional payments, cite section 393 table items, not the old 194 numbers.
- **Pay advance tax on time.** Four instalments, or interest under sections 416 and 417.
- **File by 31 August if non-audit.** The deadline for ITR-3 and ITR-4 moved from 31 July to 31 August — three extra weeks you should not need, but now have.

Startups: a higher turnover ceiling

The Finance Act, 2026 raised the turnover threshold for the 100% profit deduction for eligible startups from Rs 100 crore to Rs 300 crore, aligning with the DPIIT notification. If you run an eligible startup, this widens the window in which the holiday applies.

29. NRIs, Residency and Section 6

The new Act keeps the same residency tests, but the section numbers and the language are new. If you live or work abroad, this is what decides whether India taxes your global income.

- You are resident if you are in India for 182 days or more in the tax year, or for 60 days or more in the year plus 365 days or more across the preceding four years.
- The 60-day limb is relaxed to 182 days for Indian citizens and persons of Indian origin visiting India, and for Indian citizens leaving for foreign employment.
- The ‘not ordinarily resident’ category survives, under section 6(13), and shields foreign income of those who qualify.
- There is no change to the deemed-resident rule for Indian citizens with income above the prescribed threshold who are not taxed anywhere else.

For a returning NRI, the RNOR window remains the key planning tool: it can keep your foreign income outside India’s tax net for the first years after you return. Confirm your status with a professional before relying on it.

30. Notices, Assessments and Appeals: What Changed

The new Act renumbers the machinery provisions and softens a few of them. If you ever receive a notice, these are the changes that help you.

- **A minimum 30 days to respond.** Where a reassessment notice asks you to file a return, you must now be given at least 30 days, up from a shorter window.
- **Composite assessment and penalty orders.** In certain cases a single order can cover both the assessment and the penalty, with the same opportunity to be heard.
- **Binding CBDT guidelines.** Guidelines issued to remove difficulties in the TDS/TCS chapter are now binding on tax authorities and on deductors.
- **Electronic lower-TDS certificates.** You can now apply online for a certificate for nil or lower deduction, instead of on paper.

- **Tribunal orders on a portal.** The Appellate Tribunal must upload its orders to a designated portal for real-time access.

31. Penalties and Decriminalisation: What Is Now Cheaper

Budget 2026 continued a clear direction: fewer criminal consequences, and lower penalties for honest mistakes. The headline changes are worth knowing.

- The tax rate on unexplained credits, unexplained investments and similar income falls from 60% to 30%.
- Non-production of books of account and certain TDS payment defaults are decriminalised.
- Several offences under the new Act are partially or fully decriminalised, with the nature and period of punishment revised.
- Immunity under the updated-return route now covers a wider set of under-reporting cases, provided the additional tax is paid.

The message is consistent: the law is getting harsher on concealment and gentler on correction. If you have a past error, the updated-return route is the cheapest way to fix it.

32. The E-Filing Portal: A Walk-Through

Filing happens on incometax.gov.in, and the portal now serves both Acts side by side. Here is the sequence, so nothing catches you out.

1. Log in and check which year you are filing. For income up to March 2026, choose AY 2026-27 and the old forms. For Tax Year 2026-27, the new forms will be notified well before the due date.
2. Download your pre-filled data. For Tax Year 2026-27, your annual information is in Form 168, not the old AIS.
3. Select the right ITR form — the portal recommends one from a short questionnaire.
4. Enter your income head by head, then your deductions. If you are on the new regime, most deduction fields will not apply.
5. Reconcile your TDS. Match your Form 130 and Form 131 against the portal records so nothing is left unclaimed.
6. Pay any balance tax and file. Verify within 30 days using Aadhaar OTP, net banking or a digital signature.

One habit saves a great deal of trouble: file early in the season, not in the last week. The portal is busiest then, and a rushed return is a defective return.

33. Filling Your ITR Step by Step

Here is the whole filing process, from login to verification, in plain order. The portal now serves both Acts, so the first step is to be certain which year you are filing.

1. **Confirm the year.** Income up to 31 March 2026 is filed for AY 2026-27 under the old Act. Tax Year 2026-27 is filed in 2027 under the new Act.
2. **Gather your documents.** Form 130 (salary), Form 131 (other TDS), Form 168 (annual information), bank statements, rent receipts with the landlord's PAN, and investment proofs.
3. **Log in and pick the form.** The portal's questionnaire recommends ITR-1, 2, 3 or 4. Use it if you are unsure.
4. **Fill in your income head by head.** Salary, house property, business, capital gains, other sources.
5. **Claim your deductions.** On the new regime most fields are irrelevant; on the old regime enter 80C, 80D, home-loan interest and the rest.
6. **Reconcile TDS.** Match the portal's records against your certificates so no credit is lost.
7. **Compute and pay.** The utility calculates tax. Pay any balance through the challan and enter the details.
8. **Submit and verify.** Verify within 30 days by Aadhaar OTP, net banking or digital signature, or the return is treated as not filed.

The one habit that prevents most problems

Reconcile your TDS before you file, not after. Almost every defective-return notice traces back to a mismatch between what you claimed and what the deductor reported. If you spot the mismatch early, you fix it in minutes.

34. Documents to Keep and a Year-Round Tax Calendar

Tax is a year-round habit, not an April scramble. Keep these documents and follow this calendar and you will never file blind.

30.1 Keep these, every year

- Form 130 (salary TDS) and Form 131 (other TDS) for the year
- Form 168, your annual information statement
- Bank, FD and savings-interest statements
- Rent receipts with the landlord's PAN, and the lease agreement
- 80C, 80D and NPS contribution proofs
- Home-loan interest certificate and principal-repayment statement
- Capital-gains statements from your broker or fund house
- Proof of any advance tax or self-assessment tax paid

30.2 Your year-round calendar

When	What to do
April	Confirm your regime with your employer; start the year's investment planning
June	Pay the first advance-tax instalment (15 June) if applicable
July	File last year's return by 31 July if you are salaried
September	Second advance-tax instalment (15 September)
December	Third advance-tax instalment (15 December); review your capital gains
January	Collect 80C and 80D proofs for the current year
March	Final advance-tax instalment (15 March); complete tax-saving investments

35. Understanding Form 130 Line by Line

Form 130 is the renamed Form 16 — your salary TDS certificate. Understanding it turns filing from a guess into a check. Here is what each part does.

Part	What it contains
Part A	Your employer's and your details, and the quarterly TDS deposited
Part B	A summary of the salary paid and the tax deducted on it
Part C (Annexure-I)	The full salary computation: gross salary, exemptions, deductions, taxable income, tax, relief and net tax payable
Part C (Annexure-II)	For specified senior citizens — pension and interest details

It is issued by 15 June following the tax year, and your employer must generate it from the quarterly TDS statement. If you changed jobs during the year, each employer issues its own Part A and Part B, and Part C can come from either the last employer or each of them, at your choice. Check the salary figure against your payslips, and the TDS against Form 168.

36. Planning as a Couple or a Family

A household that plans together can legally lower its tax bill. These are the levers that work, and the line you should not cross.

- **Both partners should use their rebate.** If both earn under Rs 12 lakh, both pay nothing under the new regime — do not concentrate income in one name.
- **Split the home loan sensibly.** Joint owners can each claim interest on a self-occupied home in the old regime, within the overall limit.
- **Both can use employer NPS.** Two employers means two 80CCD(2) deductions of up to 14% of salary each.
- **Do not park assets in a spouse's name to dodge tax.** Clubbing rules tax the income back in your hands, so the manoeuvre fails and invites scrutiny.

- **Invest for children in their own name.** A minor's income is clubbed with the higher-earning parent, except income from the child's own talent or assets — which is a real, legitimate route for a young performer or creator.

The theme running through the new Act is the same as through this book: the law rewards disclosure and punishes concealment. Plan openly, keep records, and the savings are yours to keep.

37. Presumptive or Regular: Choosing Your Business Tax Method

If you earn from a business or a profession, you have two ways to compute your income. Picking the wrong one either overpays tax or forces you into paperwork you did not need.

	Presumptive	Regular
Business (section 58, formerly 44AD)	Turnover up to Rs 2 crore (Rs 3 crore if cash receipts are 5% or less); profit deemed at 8%, or 6% for digital receipts	Full books of account; actual profit computed; audit if thresholds crossed
Profession (section 58, formerly 44ADA)	Gross receipts up to Rs 75 lakh (Rs 50 lakh if cash receipts exceed 5%); profit deemed at 50%	Full books; actual profit; audit if thresholds crossed

The rule of thumb: if your real profit margin is lower than the deemed percentage, the regular method shows a lower income and can save tax — at the cost of maintaining books and possibly an audit. If your margin is higher, or you want to avoid compliance entirely, presumptive is simpler and often cheaper in effort. Many small professionals with thin margins are better off regular; many with healthy margins are better off presumptive.

38. What Late Filing Actually Costs You

Deadlines are not just dates — they carry a price. Here is what missing them costs, in rupees, so the decision is a real one.

- **Late filing fee** (formerly 234F): Rs 5,000 if your total income is above Rs 5 lakh, Rs 1,000 if it is at or below.
- **Interest for late filing** (formerly 234A): 1% per month on the unpaid tax.
- **Interest for an advance-tax shortfall** (formerly 234B): 1% per month from 1 April.
- **Interest for a missed instalment** (formerly 234C): 1% per month for each shortfall.

A worked example makes it concrete. Suppose you owe Rs 1,00,000 of tax and file three months after the due date with the tax unpaid. The late fee is Rs 5,000, and interest at 1% a month for three months is Rs 3,000 — so the delay costs Rs 8,000 on top of the tax. File on time and that money stays with you.

The cheapest mistake is a corrected one

If you have already missed a deadline, file as soon as you can — interest accrues monthly, so every month of delay adds to the bill. If you filed something wrong, the revised-return window now runs to 31 March, and the updated-return route can settle a notice with immunity from under-reporting penalties.

39. Other Changes Worth a Minute

A handful of smaller amendments round out the year. None is likely to change your life, but each can matter in the right situation.

- **Motor accident compensation interest is exempt.** Interest awarded by a Motor Accident Claims Tribunal to an individual or legal heir is no longer taxable, and no TDS applies.
- **Refund cross-utilisation.** A refund due under either Act can now be set off against a demand under the other, so a demand under the old law can absorb a refund from the new year.
- **MAT becomes a final tax.** From 1 April 2026, Minimum Alternate Tax is a final tax at 14%, down from 15%, with existing MAT credit still usable.
- **Arrest and detention removed from recovery.** Imprisonment is no longer a mode of recovering tax dues — a meaningful softening of enforcement.
- **Foreign assets disclosure window.** A one-time Foreign Assets of Small Taxpayers Disclosure Scheme, 2026 lets eligible taxpayers — students, young professionals, returning NRIs — regularise small undisclosed foreign assets with immunity from penalty and prosecution.

40. Common Mistakes to Avoid This Year

Most avoidable tax pain comes from a short list of errors. Here is the list.

- **Filing the new year on the old forms.** For income up to 31 March 2026 you still use old forms and old section numbers. The new ones apply from Tax Year 2026-27.
- **Quoting old TDS sections.** From April 2026, cite section 393 table items or risk validation errors.
- **Assuming the old regime is better.** At modest deduction levels, the new regime’s Rs 12 lakh rebate usually wins.
- **Missing the capital-gains carve-out.** The 87A rebate does not cover special-rate gains, and those gains can cost you the rebate on your salary.
- **Cash HRA with no landlord PAN.** The exemption survives; the informal proof does not.
- **Forgetting advance tax.** If TDS does not cover your bill, the four instalment dates still apply.
- **Treating MAT as still accumulating.** From 1 April 2026 it is a final tax; plan accordingly.

41. Your 30-Day Plan

A month is enough to get fully on top of the new Act. Here is how to spend it.

Days	What to do
1 to 5	Read your Form 130 and last year’s return. Write down every deduction you actually claimed.
6 to 10	Run your numbers under both regimes for Tax Year 2026-27. Note which wins and by how much.
11 to 15	Decide your regime and tell your employer. Check whether corporate NPS is available to you.
16 to 20	Collect landlord PAN and rent proof if you claim HRA. Organise 80C and 80D documents.

Days	What to do
21 to 25	If you have capital gains, map them against the Rs 12 lakh line and the special rates.
26 to 30	Save this book’s cheat sheets. Diary your advance-tax dates and the 31 July filing date.

42. Frequently Asked Questions

Q. Do I have to do anything to move to the new law?

A. No. The new Act applies automatically to income from 1 April 2026. Your employer updates payroll, and the portal updates its forms. You only make a choice about which regime to be taxed under.

Q. Did my tax rates go up because of the new Act?

A. No. The new Act is revenue-neutral — rates, slabs and deduction limits are unchanged. Budget 2026 also kept personal tax slabs the same for FY 2026-27.

Q. Is my 80C deduction gone?

A. Only if you are on the new regime, which disallows it. On the old regime it survives, unchanged at Rs 1,50,000, now called section 123.

Q. Which ITR do I file this July?

A. For income earned up to 31 March 2026 you file under the old Act, for AY 2026-27, using the old forms and old section numbers. The new Act governs Tax Year 2026-27, filed in 2027.

Q. Why is my Form 16 missing?

A. It is not missing — it has been renamed. From Tax Year 2026-27 your salary TDS certificate is Form 130.

Q. What happened to my AIS?

A. The Annual Information Statement is now Form 168 for Tax Year 2026-27. The old AIS still covers periods up to AY 2026-27.

Q. I earn Rs 12.5 lakh. Do I pay any tax?

A. Under the new regime, a salaried person’s taxable income at a Rs 12.5 lakh salary is Rs 11.75 lakh after the Rs 75,000 standard deduction — below the Rs 12 lakh rebate line, so you pay nothing.

Q. What is marginal relief?

A. A safeguard that stops your tax jumping to a huge figure the moment your income crosses Rs 12 lakh. Just above the line, your tax cannot exceed the amount by which your income exceeds Rs 12 lakh.

Q. Does the rebate cover my capital gains tax?

A. No. The section 87A rebate does not apply to gains taxed at the special 20% and 12.5% rates. Those gains also count towards the Rs 12 lakh limit.

Q. Can I switch back if I choose the old regime?

A. If you have business income, opting out is a once-in-a-lifetime decision made on Form 106. Salaried people have more flexibility and can choose year to year.

Q. How long do I have to fix a mistake in my return?

A. Up to 31 March following the tax year — twelve months instead of the old nine. A nominal fee applies if you revise after nine months.

Q. Can I still file an updated return after a notice?

A. Yes. Budget 2026 allows it even after reassessment begins, with an additional 10% levy, and gives immunity from under-reporting penalties.

Q. Do I need a TAN to buy property from an NRI?

A. No. A resident buyer can now deduct and deposit TDS on such a sale using their own PAN-based challan.

Q. Is crypto taxed differently now?

A. No. Virtual Digital Assets are still taxed at a flat 30%, with no loss set-off and a 1% TDS on transfer — now under section 393 of the new Act.

Q. I am a senior citizen. Is the new regime good for me?

A. Often yes, if your pension and interest income is below Rs 12 lakh, because the rebate makes it tax-free without needing the age-based exemption. Run both regimes to be sure.

Q. What is the biggest change I should actually care about?

A. The new form numbers and the section renumbering. Get those right and the rest of the new Act behaves exactly like the old one.

43. Glossary: Old Term to New Term

Keep this alongside the cheat sheets. It is the quickest way to translate anything you read about the new Act back into the language you already know.

Old Act (1961)	New Act (2025)	Meaning
Previous Year / Assessment Year	Tax Year	The twelve months from 1 April to 31 March
Section 80C	Section 123	Deduction for specified investments
Section 80D	Section 126	Health insurance deduction
Section 87A	Section 156	Rebate for lower-income taxpayers
Section 115BAC	Section 202	The default concessional regime
Section 192	Section 392	TDS on salary
Sections 194C to 194T	Section 393	TDS on non-salary payments, in one table
Section 139	Section 263	Filing your return
Sections 234A/B/C	Renumbered	Interest for late filing and advance-tax defaults
Section 44AD / 44ADA	Section 58	Presumptive taxation for business and professionals
Form 16	Form 130	Salary TDS certificate
Form 26AS / AIS	Form 168	Annual information statement
Forms 15G and 15H	Form 121	Declaration for receipt without TDS

44. Quick Reference Card

Tear this out. It is the whole book in one page.

The numbers that matter for Tax Year 2026-27

New regime slabs: Nil to Rs 4L; 5% to Rs 8L; 10% to Rs 12L; 15% to Rs 16L; 20% to Rs 20L; 25% to Rs 24L; 30% above.

Standard deduction: Rs 75,000 (new regime), Rs 50,000 (old regime).

Rebate (section 87A / 156): up to Rs 60,000, income up to Rs 12,00,000. Salaried tax-free up to Rs 12,75,000.

Capital gains: equity STCG 20%; equity LTCG 12.5% above Rs 1.25 lakh; other LTCG 12.5%; add 4% cess.

80C (now section 123): Rs 1,50,000. **80D (now section 126):** health insurance.

Cess: 4% on tax plus surcharge. **Surcharge:** 10% / 15% / 25%.

Deadlines to diary

Advance tax: 15 June, 15 September, 15 December, 15 March.

ITR, salaried: 31 July. Non-audit business: 31 August. Audit: 31 October.

Belated return: 31 December. Revised return: 31 March.

Employer issues Form 130 by 15 June following the Tax Year.

Forms to remember

130 salary TDS · 131 other TDS · 133 TCS · 121 no-TDS declaration · 141 challan-cum-statement · 168 annual information · 106 opting out of new regime.

45. Sources and Verification

Every fact, figure, rate and form number in this playbook was taken from official Government of India sources and the latest CBDT material, current as of October 2026. Where a change was announced in Budget 2026 and enacted in the Finance Act, 2026, the enacted position is stated.

- Income-tax Act, 2025 — full text and schedules, incometaxindia.gov.in
- Income-tax Rules, 2026 — notified 20 March 2026, CBDT
- Finance Act, 2026 — notified 30 March 2026; Finance Bill, 2026 Memorandum (indiabudget.gov.in)
- Press Information Bureau — Income-tax Act 2025 comes into force (1 April 2026); Union Budget 2026-27 direct-tax release (1 February 2026)
- CBDT FAQs on Interplay and Transition from the Income-tax Act, 1961 to the Income-tax Act, 2025
- CBDT FAQs on Budget 2026 and on the new forms (Form 121, Form 130, Form 141, Form 168)
- CBDT comprehensive note on TDS/TCS certificates in Forms 130 to 133
- Guide to Income-tax Act 2025 forms, e-filing portal, incometax.gov.in
- Tax rates and capital-gains pages, incometaxindia.gov.in

A note on scope

This playbook explains the law as it stands for Tax Year 2026-27 and is written for general guidance. It is not professional tax advice and cannot replace a chartered accountant who knows your full financial position — especially for business income, capital gains, foreign assets or NRI status. Before you act on anything consequential, confirm it against the current provisions or with a qualified professional.